FinGuard Bank Enhanced Due Diligence Standard

Synthetic document for the FinGuard AI learning project. FinGuard Bank is fictional; this is not legal or regulatory advice.

1 When enhanced due diligence applies

Enhanced due diligence (EDD) is mandatory for HIGH-risk customers, politically exposed persons (PEPs) and their family members and close associates, customers established in high-risk third countries identified by the authorities, cross-border correspondent relationships, and complex or unusually large transactions without an apparent economic or lawful purpose.

2 Politically exposed persons

A PEP relationship may only be established or continued with the approval of senior management. The bank must establish the source of wealth and source of funds and conduct enhanced ongoing monitoring. A person who has left a prominent public function remains treated as a PEP for at least 12 months, and longer if the risk assessment requires it.

3 Enhanced measures

EDD measures include obtaining additional information on the customer and beneficial owners, corroborating source of funds and source of wealth with documentary evidence, obtaining senior management approval, and increasing the number and frequency of controls, including manual review of selected transactions.

4 High-risk jurisdictions

Transactions with counterparties in elevated-risk jurisdictions require documented business rationale. Wire transfers above EUR 10,000 to or from such jurisdictions are reviewed by Compliance before or promptly after execution, depending on the product.

5 Approval and review

EDD files are approved by a senior manager independent of the relationship manager and reviewed at least every 12 months. Exits from EDD relationships are documented and assessed for reporting.